

HERE'S THE INDIAN dream:

A well-paying job in a good company. And to achieve this, students study late into the night, and often dip into family savings. But in recent times, this dream has soured for the millions of workers entering India's workforce annually. The lack of adequate jobs re-

mains a challenge for policymakers in the country despite the high economic growth rate of 7% and above in recent years.

The issue was a hot topic during the General Elections this year and the expectations are that the upcoming Union Budget will announce at least a few measures to create more employment opportunities.

According to World Bank data, India has a workforce of 593.7 million, with an estimated 90% being in the informal sector. The annual Periodic Labour Force Survey (PLFS) reveals that the headline unemployment rate for workers aged 15 years and above declined to 3.2% in 2022-23 from 6.1% in 2017-18. But a closer look shows that formal employment has remained low.

Recent reports have warned that India may be facing a challenge in creating adequate jobs for all. For instance, the World Bank has highlighted that South Asia, including India and its neighbouring countries, may lose its demographic dividend if it is unable to create jobs. "Sustaining growth will require increasing employment ratios, especially in the non-agricultural sectors and among women, through measures to remove obstacles to growth for businesses, increase openness to international trade, ease labour market and product market restrictions, build human capital, and strengthen equality of women's rights," says its recent South Asia Development Update 2024.

The India Employment Report 2024 by the Institute for Human Development and the International Labour Organization has similarly highlighted that with a large proportion of working-age population, India is expected to be in the potential demographic dividend zone for at least another decade. While 7-8 million youth join India's workforce every year, it notes that youth unemployment has been a significant issue, especially for those educated up to the secondary level or above. It estimates that the share of youth among the total unemployed population was 82.9% in 2022.

"The central problem of unemployment in India is that of youth unemployment, especially amongst those who are educated; and the low female labour

Jobless Growth



JOB CREATION HAS BEEN LOW IN INDIA, DESPITE A HIGH GDP GROWTH RATE



RECENT REPORTS HAVE HIGHLIGHTED THE CHALLENGES OF HIGH UNEMPLOYMENT AMONG YOUTH AND WOMEN



INDIA COULD LOSE THE ADVANTAGE OF THE DEMOGRAPHIC DIVIDEND WITHOUT HIGH-QUALITY JOBS



LACK OF ADEQUATE JOBS WAS ALSO AN ISSUE FOR VOTERS IN THE GENERAL ELECTIONS



CREATING JOBS AND INCREASING INCOMES CAN ALSO BOOST FLAGGING CONSUMPTION DEMAND



WHILE A QUICK-FIX SOLUTION MAY NOT BE POSSIBLE, THERE ARE EXPECTATIONS FOR MEASURES IN THE BUDGET



"This election has shown that welfarism has run its course. India does not have to choose between manufacturing and services for job creation but can use both"

MANISH SABHARWAL
CHAIRMAN, TEAMLEASE SERVICES